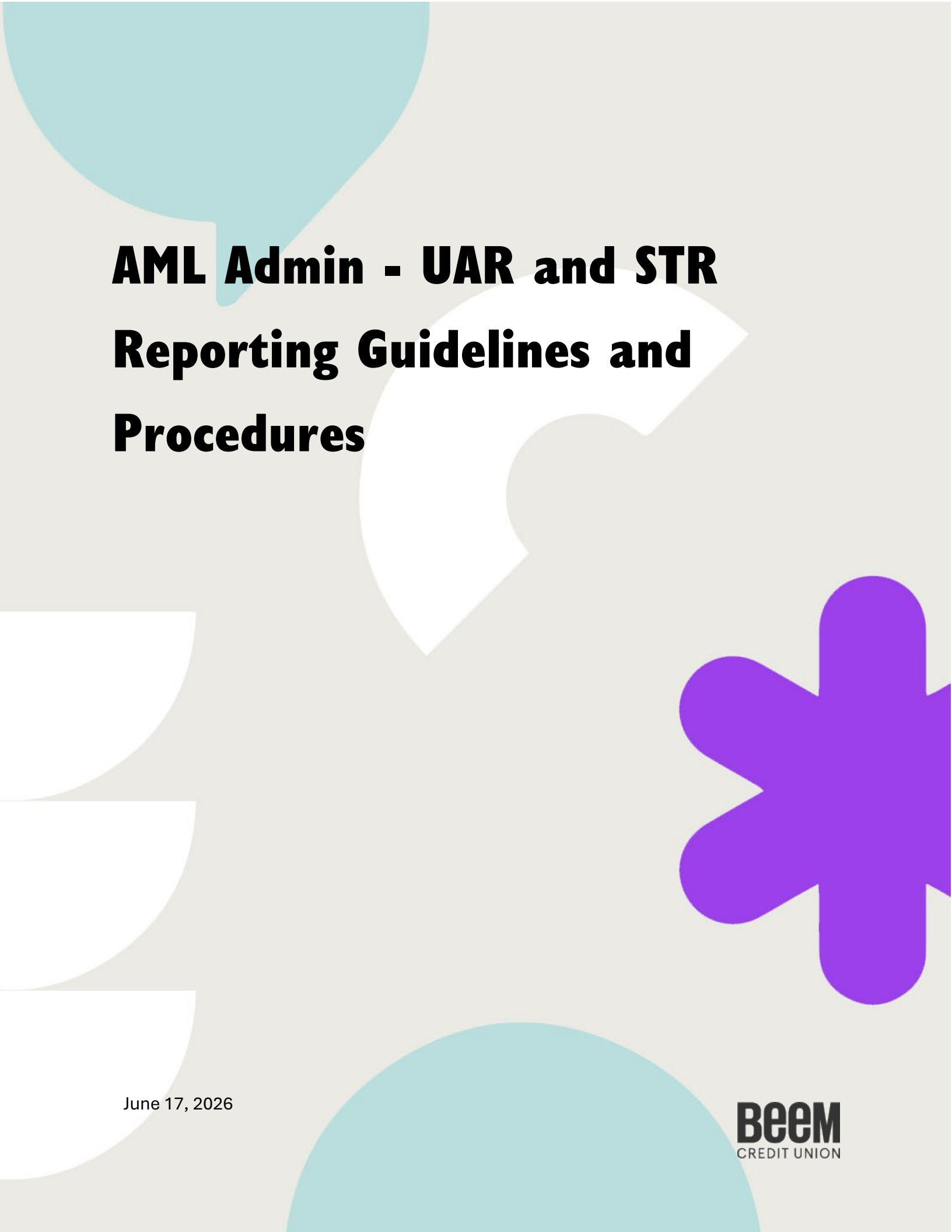




AML Admin - UAR and STR Reporting Guidelines and Procedures

June 17, 2026

Beem
CREDIT UNION

Document Tracking and Control Table

Policy Owner	Pattie Lamboo – VP Compliance, CAMLO
Approval Date	August 24, 2026
Version	005
Access Level	AML Compliance Department
Policy Author	Sandra Makortoff – Manager, Compliance
Subject Matter Expert(s)	Sandra Makortoff – Manager, Compliance
Last Full Review Date	June 17, 2026
Update Date (changes were made but a full review was not conducted)	June 17, 2026
Review Frequency Requirement	Annually
Changes made (create links to any material changes within the document)	Refer to Version History
Stakeholders Impacted	AML Compliance Department

Table of Contents

1	Purpose	3
1.1	Unusual Activity Reports (UAR)	3
1.2	Suspicious Transaction Reports (STR)	3
2	Guidance	3
3	Procedure Authority.....	3
4	Roles and Responsibilities	3
5	Unusual Activity Reporting Investigation	4
5.1	Notification of UAR	4
5.1.1	Accessing UAR Reports.....	4
5.2	UAR Investigation.....	5
5.2.1	KYM Review.....	5
5.2.2	Account Activity Review	5
5.2.2.1	Related Membership Review	6
5.2.2.2	Investigation Timeframe.....	6
5.2.3	Open Source Searches	8
5.2.4	Obtain additional information from staff	9
5.3	Suspicious Transaction Determination.....	10
5.3.1	Activity Deemed Reasonable.....	11
5.3.2	Activity Escalated to Suspicious Transaction Report (STR)	12
6	Activity Deemed Reasonable	12
6.1	Record Keeping.....	12
6.1.1.1	Sunflower	12
6.1.1.2	UAR Application	14
6.1.2	Non-Member Activity Deemed Reasonable Record Keeping.....	15
6.2	CAMLO Review for Activity Deemed Reasonable.....	15
7	Suspicious Transaction Reporting Requirements	16
7.1	STR Narrative Guidance	16

7.2	Reporting STRs to FINTRAC.....	17
7.3	STR Record Keeping	17
7.3.1.1	Sunflower	17
7.3.1.2	UAR Application	19
7.3.2	Non-Member UAR and STR Record Keeping	20
8	Victims of Fraud Under \$5,000 - Threshold	20
8.1.1.1	Victim of Fraud Threshold Process	21
9	Illegal Cannabis UAR Investigations	22
10	Online Gambling UAR Investigations	23
10.1	Volume of Gambling Debits (bets).....	24
10.2	Volume of Gambling Credits (winnings).....	25
11	Record Keeping & Retention.....	26
11.1	Reporting Views	26
11.2	Retention	27
12	Version History.....	27

1 Purpose

This procedure document outlines Beem Credit Union’s commitment to PCMLTFA legislation by ensuring a consistent approach is taken when conducting unusual activity investigations and subsequent Suspicious Transaction Reporting that meets measures prescribed by FINTRAC.

1.1 Unusual Activity Reports (UAR)

Guidance on the investigation and documentation of Unusual Activity Reports.

1.2 Suspicious Transaction Reports (STR)

Guidance on Reasonable Grounds to Suspect (RGS) and Suspicious Transaction Report (STR) determination, and STR report preparation and documentation.

2 Guidance

Use these guidelines and procedures in conjunction with the Credit Union [Unusual Activity Reporting](#) Guidelines and [Unusual Activity Reporting](#) Procedures.

3 Procedure Authority

Updates and/or changes can be made by Anti-Money Laundering (AML) Compliance Department, with reviews and approval by the Chief Anti-Money Laundering Officer (CAMLO).

4 Roles and Responsibilities

Role	Responsibility
All Branch Staff	Identify and report unusual activity to their management team within 24hrs.
Branch Managers/ Supervisors	Review Unusual Activity Reports submitted by staff and submit to AML Compliance within 24hrs
AML Compliance Department	Conduct Unusual Activity Investigations as prescribed in this procedure document ensuring Suspicious Activity is reported to FINTRAC, when required, as soon as

	reasonably practicable and proper documentation and record keeping is adhered to.
Chief Anti-Money Laundering Officer (CAMLO) or designate	Take measures to review, with documentation, a sampling of unusual activity investigations that have not been escalated to suspicious as well as filed Suspicious Transaction Reports to ensure consistency and that PCMLTFA regulations have been adhered to.

5 Unusual Activity Reporting Investigation

The following procedures must be followed by the AML Compliance Department to investigate UARs received from staff, determine whether reasonable grounds to suspect ML or TF activities have occurred, and, if necessary, prepare and submit Suspicious Transaction Reports (STR) to FINTRAC.

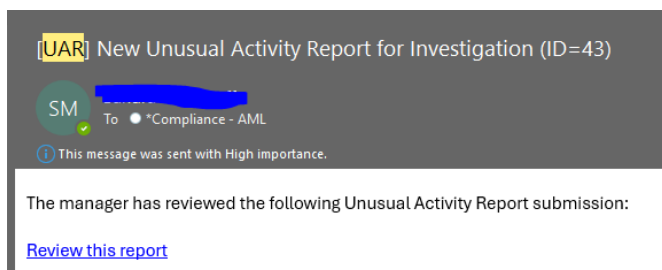
When unusual activity is either conducted, or attempted, the following steps must be taken:

1. Unusual Activity Report (UAR) form to be submitted through UAR application within 24 hours of the event by staff member that identified the unusual activity
2. Branch Manager, or supervisor, of the branch or department where the activity was identified will receive a notification to review the UAR submission made by their staff. Branch Management to review and provide additional comments. This is to be completed within an additional 24 hours.
3. AML Compliance Department to [conduct investigation](#) and record findings. When the investigation is complete, a determination will be made whether the activity is reasonable or suspicious. If suspicious activity is identified, a subsequent Suspicious Transaction Report will be prepared and filed with FINTRAC.
4. The AML Compliance Department will advise Branch Management of any further action required based upon the findings and overall risk assessment of the investigation.

The following process must be completed to conduct an unusual activity investigation.

5.1 Notification of UAR

The AML Compliance Department will receive notification that a new unusual activity investigation has been submitted via an email to AML Compliance inbox. The email will indicate that a new UAR has been escalated for investigation with a link to the UAR.



5.1.1 Accessing UAR Reports

After a notification has been received, the AML Compliance Department will access the UAR through either the:

- Link in the email notification; or
- SharePoint list of the UAR applications - [Applications Development - UAR - Reports](#)

5.2 UAR Investigation

The AML Compliance Department will action pending UARs from oldest to newest from the date of submission by staff. To begin an investigation, open a UAR submission and complete the following steps:

1. Review the information submitted by the staff member under the **UAR Submission** section.
2. Review the information added by the manager in the **Manager Review** section
3. Under the **Compliance Review** section:
 - a. Assign the UAR by selecting the applicable name under the **Investigator** drop down
 - b. Indicate the **Date of Investigation Initiation**
4. Open the [Unusual Activity Investigation Form](#) to document a thorough assessment of the unusual activity identified in the UAR submission, based on the following parameters:
 - a. [KYM Review](#)
 - b. [Account Activity Review](#)
 - c. [Open-Source Searches](#)
 - d. [Additional information as required](#)

5.2.1 KYM Review

A review of all Know Your Member (KYM) information must be conducted ensuring information is accurate, current, and consistent with the nature and purpose of the relationship.

KYM information should be reviewed for individuals or entities being investigated, as well as any related individuals, beneficial owners, or directors to ensure that a comprehensive understanding of the relationship is established.

KYM information also includes the member's current risk score, and previous FINTRAC reporting, and or previous investigation findings.

If information is missing or inaccurate request any updates be made by the branch, when possible.

5.2.2 Account Activity Review

Review any account activity, if applicable, for a period of **no less than three months** prior to the date of the unusual activity identified, refer to the [Investigation Timeframe](#) details below for further information on review period determination. The review must include all account activity up to the current date of the investigation.

The account activity review should include a review of:

- intended use of any account(s)
- source and purpose of funds
- documentation of all incoming and outgoing funds from the accounts

While conducting the account activity review, determine if:

- there are money laundering or terrorist financing indicators, such as:
 - inconsistencies, circular movements, or layering indicators
- activity is reasonable or not in alignment with KYM information on file

Refer to [Money Laundering and Terrorist Activity Financing \(MLTF\) Suspicious Transaction Indicators](#) and AML Admin [Money Laundering and Terrorist Activity Financing \(MLTF\) Suspicious Transaction Indicators](#) for additional ML and TF indicators.

5.2.2.1 Related Membership Review

The purpose of reviewing related memberships is to determine whether the unusual or suspicious activity extends beyond the membership that triggered the investigation. Investigations should normally focus on the triggering membership. Related memberships should only be reviewed when there is information suggesting they may be connected to the activity being investigated.

The AML Compliance Team should review related memberships when one or more of the following apply:

- Unusual or suspicious funds are moving between the triggering membership and the related membership.
- The triggering member is a beneficial owner, authorized signer, or director on business memberships held with the Credit Union and there are money laundering indicators present.
- There are concerns about the accuracy of member information, beneficial ownership, business activities, or the purpose of the related relationship and there are money laundering indicators present.
- Information obtained through adverse media, production orders, law enforcement requests, internal investigations, or other reliable sources identifies a potential connection to the suspicious activity.

A relationship alone does not require a full review of a related membership. For example, the existence of a joint account holder, authorized signer, beneficial owner, director, shareholder, family member, or affiliated business is not sufficient on its own to expand the scope of an investigation.

Before reviewing a related membership, the AML Compliance Team should be able to explain how the review may help determine whether suspicious activity exists, identify additional suspicious transactions, clarify the extent of the activity, or support reporting obligations. Where no such connection exists, the investigation may be limited to the triggering membership, and the rationale should be documented in detail in the Unusual Activity Investigation Form. If a related membership is determined to require investigation due to money laundering concerns ensure that this review is fully documented in the Unusual Activity Investigation Form and, if applicable, an STR submitted on all unusual activity identified under the related membership(s).

5.2.2.2 Investigation Timeframe

The following sections must be reviewed to determine which review period applies to the unusual activity investigation being conducted.

Standard Review Period

The AML Compliance Team must review a minimum of 90 days of account activity preceding the triggering event, alert, referral, or unusual activity, including the triggering activity itself.

The purpose of this review is to obtain sufficient information to understand the nature of the activity, assess whether the activity is unusual or suspicious, and determine whether additional investigating or reporting is required.

The 90-day review period is the standard review period for all unusual activity investigations and will generally provide sufficient information to understand the activity, assess suspicion, and determine whether reporting obligations exist. If sufficient information was not available within the 90-day review period to make a determination on whether activity was reasonable or unusual an enhanced review period must be conducted.

Enhanced Review Period

An enhanced review period is required when the standard 90-day review does not provide sufficient information to determine whether suspicious activity exists or whether reporting obligations have been met.

The review period should be expanded only to the extent necessary to obtain additional information and support the investigation outcome.

Examples where an enhanced review may be required include:

- Additional historical activity is required to determine whether the activity is reasonable, unusual or suspicious.
- The activity appears to be ongoing or forms part of a broader pattern.
- Transactions identified during the investigation indicate related activity may have occurred before the standard review period.
- Information obtained during the investigation suggests the activity may have commenced before the standard review period.
- Concerns regarding beneficial ownership information indicate the relationship or ownership structure may have been misrepresented for a period extending beyond the standard review period.
- Production orders, adverse media, law enforcement information, or other reliable information identifying concerns that pre-date the standard review period.

The rationale for extending the review period and the timeframe selected must be documented in the Unusual Activity Investigation Form.

Production Orders, Law Enforcement Information, and Adverse Media

Where a production order, law enforcement request, adverse media source, or other reliable information identifies a specific period of concern, the review period must be expanded to include activity from at least the earliest date identified in the information source.

Activity may be reviewed further where necessary to fully understand the nature and extent of the suspicious activity.

Review Back to Membership Establishment

A review back to the date of membership establishment may be required where information identified during the investigation suggests that the activity, concern, or risk may have existed since the relationship was established.

Examples include:

- Misrepresentation of nature of business during onboarding.
- Undisclosed or unlicensed money services business activities.
- Use of nominee directors, shareholders, or shell company structures.
- Information suggesting the member relationship was established to facilitate, conceal, or support illicit activity.

Investigation Timeframe Record Keeping Requirements

The rationale for the review period selected must be documented in the Unusual Activity Investigation Form.

Where the review period remains limited to 90 days, the investigation notes should explain why the review period was sufficient to assess the activity and support the investigation outcome.

“The 90-day review established the source and destination of funds, identified transaction patterns, assessed member risk, reviewed related activity, and allowed us to determine that reasonable grounds to suspect ML or TF existed. No information identified during the investigation suggested earlier activity required review. Enhanced monitoring will be implemented, and subsequent suspicious activity will be assessed through ongoing monitoring and additional STR filings where warranted.”

Where the review period is expanded beyond 90 days, the investigation notes should explain the factors that resulted in the expanded review and how the additional information contributed to the investigation.

5.2.3 Open Source Searches

Conduct open-source searches to determine if there is any negative news associated with the individual or entity being investigated. One, or more, of the following sites may be utilized:

Website	Description
Refinitiv	Name screening for PEP, HIO, Terrorist Lists and sanctions as well as negative news
Google Search	May produce negative news related articles etc.
Canadian Legal Info Inst. (CANLII)	Judgements/decisions from all Canadian courts and admin tribunals

BC Court Services Online	Traffick/criminal charges
BC Online	Business Registry
BC Assessment	Property assessments
FINTRAC MSB List Revoked	List of Money Service Businesses that have had revoked registrations
Government Websites for Licensed Cannabis Producers and retailers	Entities that hold a federal license to cultivate, process or sell cannabis in Canada; or provincial retail license to sell cannabis
BCFSA	Listings and decisions made on real estate, brokers and insurance companies.

Refer to the following job aids for additional open-source search resources:

[Beem - AML Admin - Open-Source Search Tools & References Job Aid.pdf](#)

[Beem AML Admin - Boolean Search Logic for AML Investigations Job-Aid.pdf](#)

The AML Compliance Team must document all open-source searches conducted as part of the investigation, regardless of whether negative information is identified.

The following information should be included in the open-source search section of the Unusual Activity Investigation Form:

- The individual, business, or entity searched.
- The search terms used.
- The websites, databases, or search engines reviewed.
- The results of the searches, including whether no relevant information was identified.

Where relevant information is identified, supporting evidence must be documented within the Unusual Activity Investigation Form, such as screenshots, copies of articles, or links to source material. The investigation notes should summarize the information identified and explain its relevance to the investigation.

Where no adverse or relevant information is identified, the investigation notes should clearly state that open-source searches were completed and no information relevant to the investigation was found. For example:

"Open-source search completed on June 17, 2026. Searches conducted using the member's legal name, business name, beneficial owner names, and business address through Google and publicly available corporate registry sources. No adverse media, regulatory actions, sanctions information, or law enforcement references identified."

5.2.4 Obtain additional information from staff

If any further information pertaining to the unusual activity reported, the member relationship, or account activity is required to complete the investigation, request additional information from branch staff, when required, and record any additional details.

5.3 Suspicious Transaction Determination

At the conclusion of an [Unusual Activity Investigation](#), a determination must be made whether to escalate the activity to file a [Suspicious Transaction Report to FINTRAC](#) or [deem the activity reasonable](#).

This determination will be made when there are Reasonable Grounds to Suspect (RGS) that activity, either conducted or attempted, is related to the commission of a money laundering or terrorist financing offence. Upon this determination the subsequent STR must be filed as soon as reasonably practicable.

FINTRAC defines reasonable grounds as the following:

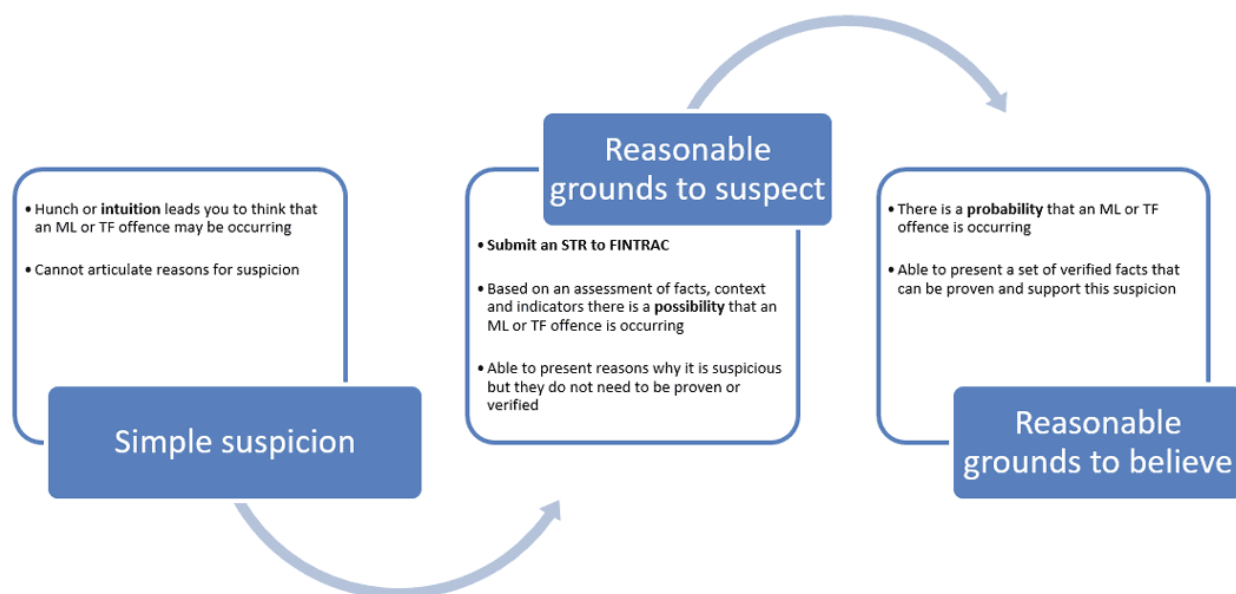


Image taken from FINTRAC's website.

Efforts should be made to identify the potential predicate offence, stages of money laundering observed, as well as determine if the activity being reported falls into one of FINTRAC's Operational Alert Projects.

- A **predicate offence** is a crime that is part of more complex criminal activity. Some common predicate offences of money laundering include the following, but are not limited to, the below:

Predicate Offence	Definition
Drug Trafficking	The illegal manufacturing, distribution and sale of prohibited drugs
Arms Trafficking	The illegal distribution and sale of arms, explosives or ammunition
Fraud	Criminal deception that results in financial or personal gain
Tax Evasion	The illegal nonpayment or underpayment of tax
Illegal Gambling	Any gambling that is not conducted via licensed facilities

Human Trafficking	Modern form of slavery involving the trade of humans for the purpose of forced labour or exploitation
Corruption & Bribery	Payments to influence officials or business decisions
Organized crime activities	Criminal acts carried out by a structured group of people who work together over time to commit serious offences for financial gain, power, or influence
Extortion and blackmail	Act of obtaining money, property, services, or another benefit from a person or organization through threats, coercion, intimidation, or abuse of power

- There are **three stages of money laundering**, as defined below:

Stage	Definition
Placement	Dirty cash enters the financial institution
Layering	Transactions conducted to move the funds to disguise their origin
Integration	Money re-enters the economy usually through the purchase of assets

- **FINTRAC Operational Alerts** are available to view on [FINTRAC's website](#) providing indicators to suspicious financial transactions and high-risk factors related to new and re-emerging money laundering and terrorist financing crimes that are of particular interest. The following hashtags should be used in any Suspicious Transaction Reports where the following activity may have been identified:

FINTRAC Operational Alert Project	Description
#Project SHADOW	Child sexual Exploitation
#Project PROTECT	Human Trafficking
#Project GUARDIAN	Drug trafficking of Fentanyl
#Project CHAMELEON	Romance Fraud
#Project ATHENA	Casino related transactions through underground banking
#Project ANTON	Illegal wildlife trade
#Project LEGION	Trafficking illicit cannabis
#Project DOLUS	Crimes via online gambling sites
Operation TAPEX; #TAPEX	Extortion crimes being conducted by terrorist groups across Canada

Activity that meets the reasonable grounds to suspect threshold must be reported to FINTRAC in a STR as soon as reasonably practicable.

5.3.1 Activity Deemed Reasonable

Where the determination is made that the activity has been deemed reasonable the following should be clearly and concisely documented:

- All pieces of investigation are summarized on the [Unusual Activity Investigation Form](#). Reasoning **not** to escalate to STR should clearly explain **why** activity does not show reasonable grounds to suspect money laundering, or terrorist financing.
- Ensure all prescribed record keeping has taken place as per the [Record Keeping for Activity Deemed Reasonable](#) measures.

5.3.2 Activity Escalated to Suspicious Transaction Report (STR)

Where the determination is made that reasonable grounds to suspect ML or TF activities has occurred escalate the activity as suspicious and file a Suspicious Transaction Report (STR), all prescribed measures for [Suspicious Transaction Reporting Requirements](#) will be followed.

6 Activity Deemed Reasonable

If the activity has been deemed reasonable the following steps must be completed to ensure that appropriate records have been documented supporting the determination.

6.1 Record Keeping

At the conclusion of the investigation, when a determination has been made that the activity has been deemed reasonable, the following steps should be taken to ensure proper record keeping is adhered to and investigation notes have been retained.

6.1.1.1 Sunflower

The Sunflower profile for the applicable member must be updated with all required information pertaining to the UAR investigation:

1. Navigate to Sunflower application in Navaera
 - a. Search for member profile

Completed [Unusual Activity Investigation Form](#) to be saved in the **document** section:

1. Open **Docs** tab
2. Click **Add Document**; select appropriate documents to be added to member file; enter Document Name (Ex. Unusual Activity Investigation DD/MM/YYYY); Enter document description (Ex. investigation notes and findings for unusual activity review on XXXMEMBER NAME)
3. Click **Save Changes**

Update all KYM Information in Sunflower as required

1. Open **Risk View** tab
2. Update applicable KYM information in the following tabs:
 - a. Basic Information; Source of funds; Expected Activity; Risk Management

A detailed note must be placed in the member's profile on Sunflower indicating that an Unusual Activity Investigation has occurred, outcome of investigation, EDD measures applied, and next ongoing monitoring review date, if applicable:

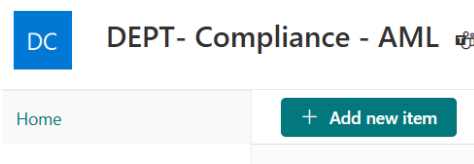
1. Open **Notes** tab and add a detailed note:
 - a. "Unusual Activity Investigation was conducted, activity deemed reasonable. Unusual Investigation notes saved in member documents as **DD/MM/YYYY- Unusual Investigation**. (IF APPLICABLE) Next review date DD/MM/YYYY."
2. If a next review date (EDD Due Date) is required to be set, ensure that dates are set in the following applications:

Sunflower:

- Click on **Workflows** tab and select from the drop down either EDD Personal or EDD Business
- Search by **Customer ID** (PERS_; ORG_)
- Select member from list
- Assign workflow to yourself
- Mark recertification as complete
- Select appropriate responses on Recertification Disposing Questions and enter in next recertification date.
- Next recertification date will be the date of the next EDD review to be completed

High-Risk EDD and Ongoing Monitoring Tracker

1. Open Tracker [DEPT- Compliance - AML - High-Risk EDD and Ongoing Monitoring Tracker](#)
2. From the home screen select "Add new item"



- a.
3. Complete all required fields:
 - a. Next EDD Due Date
 - b. Review Frequency
 - c. Member Name
 - d. PERS/ORG Number
 - e. Membership Status
 - i. Non-member
 - ii. Closed Membership (De-Marketed)

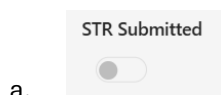
- iii. Active
- f. Member Number
- g. Branch
- h. AML Specialist
 - i. This is to be left blank when adding a new item
- i. Status
 - i. This is to be left blank when adding a new item
- j. Member Risk Score
 - i. High
 - ii. Medium
 - iii. Low
- k. Sunflower Updated
 - i. “Complete” after all data has been updated to Sunflower as required
- l. Comments
 - i. Any additional information pertaining to membership & relationship
- m. High-Risk Type
 - i. If a prescribed high-risk member add details from drop down
- n. Account Closure Date
 - i. If account is to be closed add date of closure

4. Save

6.1.1.2 UAR Application

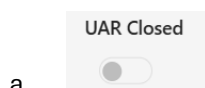
Summary of Investigation should additionally be documented in Unusual Activity Report form submission. Complete the following sections of the **Compliance Review & CAMLO Review** in the UAR Application:

1. A summary of the investigation notes from the [Unusual Activity Investigation Form](#) should be placed into the **Investigator Comments** section of the UAR Application
2. A detailed explanation why the activity is believed to be reasonable is to be documented into the **Reason for not Reporting STR** section of the UAR Application
3. **STR Submitted** indicator should be marked as “No”



4. **STR Confirmation Number** must be left blank

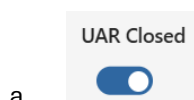
5. **UAR Closed** indicator should be marked as No



6. Date of **Investigation Completion** completed with current date
7. Under the **CAMLO Review** section, assign the CAMLO or CAMLO Designate.
8. Click the **Update** button. This will escalate the UAR for CAMLO Review.

After the CAMLO, or CAMLO Designate, has conducted their review:

1. If the CAMLO or CAMLO Designate agrees with the determination, the AML Specialist will navigate back to the UAR Application and mark the UAR Closed



2. If the CAMLO, or CAMLO Designate, feels that the activity warrants an STR the AML Specialist will proceed to Suspicious Transaction Determination and Reporting Requirements

6.1.2 Non-Member Activity Deemed Reasonable Record Keeping

At the conclusion of the investigation, when a determination has been made that the activity has been deemed reasonable for a non-member UAR, the above [UAR Application](#) steps must be completed and the non-member UAR will be retained within the UAR Application per the [Record Keeping & Retention](#) section.

The [Unusual Activity Investigation Form](#) must be saved to the following shared team's channel:

AML → AML Compliance – Pending & Completed Tasks → Investigations

[Z - Completed Non-Member UAR Investigations](#)

Save the investigation under the appropriate year with the non-member name and the associated UAR report #.

6.2 CAMLO Review for Activity Deemed Reasonable

After an AML Specialist has conducted a UAR investigation and determined that the activity was deemed reasonable, the CAMLO or CAMLO Designate will receive an email notification that a UAR is requiring CAMLO Review.

The CAMLO or CAMLO Designate will navigate to the applicable UAR by clicking the link in the email notification. Once in the UAR application, a review will be conducted of the UAR Submission, Manager Review and AML Specialists findings.

- If the CAMLO or CAMLO Designate agrees with the AML Specialists findings:
 - Detailed notes are to be placed in the **CAMLO Comments** field supporting the determination made.
- If the CAMLO or CAMLO designate disagrees with the AML Specialists findings:

- Detailed notes are to be placed in the **CAMLO Comments** field as to why the activity is believed to be unusual and reasons for recommending that an STR be submitted.

Once findings are placed in the CAMLO Comments fields, the CAMLO or CAMLO Designate will click **Update** and submit the UAR back to the AML Specialist for final steps.

7 Suspicious Transaction Reporting Requirements

After the completion of an [unusual activity investigation](#), where the determination has been made that reasonable grounds to suspect ML or TF activities has occurred a Suspicious Transaction Report (STR) must be submitted to FINTRAC as soon as reasonably practicable.

7.1 STR Narrative Guidance

When creating an STR narrative, the AML Compliance Department must clearly and concisely describe the facts, context, and indicators supporting the determination of reasonable grounds to suspect ML or TF.

The narrative should present a chronological and objective account of the activity, explaining who is involved, what occurred, when and where the activity took place, how the transactions were conducted, and why the activity is considered suspicious.

The narrative must be based on observed facts and analysis rather than speculation, reference relevant transactional details, KYM information, and red flags, and demonstrate the logical connection between the activity and the suspicion of money laundering or terrorist financing. All information included must be accurate, complete, and sufficient to allow FINTRAC to understand the nature of the suspicion without requiring additional clarification.

The following STR template should be used when preparing an STR narrative:

STR Section	Section Component	Definition
Part G- Narrative	Reason For Suspicion	Describe the behavior or activity that is giving reasonable grounds to suspect. Include any FINTRAC Operational alerts, if applicable.
	Background	Provide information on any related activity that was potentially alerted to previously (but did not previously meet reasonable grounds to suspect) or STR Confirmation Numbers for previously filed STRs for that member.
	KYC	Include all KYC information known for the member/non-member and related parties.
	Current Activity	Describe how/when the activity was brought to the attention of the AML Compliance Team. Include all details of the investigation including time frame of any account reviews. Ensure there are clear details on activity that is being considered suspicious and why it is being considered suspicious. List all ML or TF indicators identified during the review of membership, account activity and/or situation.

	List of Indicators/ Red Flags	Include all identified indicators of ML or TF activities identified to support STR determination
	Open-Source Searches	Provide any negative media identified through open sources including any hyperlinks links and search results conducted
	Conclusion	Provide a concise conclusion of the investigation including the suspected offence and any stages of money laundering observed. Include any pertinent project hashtags released by FINTRAC.
Part H- Description of Action Taken		Note any risk mitigating actions and EDD measures taken by the credit union to reduce risks as a result of the investigation.

Refer to [Money Laundering and Terrorist Activity Financing \(MLTF\) Suspicious Transaction Indicators](#) and AML Admin [Money Laundering and Terrorist Activity Financing \(MLTF\) Suspicious Transaction Indicators](#) for indicators

Refer to the [Beem - AML Admin - STR Narrative Job Aid.pdf](#) for additional reference information on building STR narratives.

7.2 Reporting STRs to FINTRAC

Beem's AML Compliance Department utilizes the AML service provider, Navaera, to facilitate all FINTRAC regulatory reporting. All STRs will be reported in Navaera using the Enview IMF Domain. FINTRAC FWR will be utilized if Navaera's services are impacted.

Refer to [Beem - AML Admin - Reporting STRs in Gen2 Navaera](#) for instructions and field requirements for reporting STRs in Navaera's Enview IMF.

7.3 STR Record Keeping

At the conclusion of the investigation where a determination has been made to file reported activity as suspicious, and an STR has subsequently been prepared and filed, the following steps should be taken to ensure proper record keeping is adhered to and investigation notes have been retained.

7.3.1.1 Sunflower

The Sunflower profile for the applicable member must be updated with all required information pertaining to the UAR investigation:

3. Navigate to Sunflower application in Navaera
 - a. Search for member profile

Completed [Unusual Activity Investigation Form](#) to be saved in the **document** section:

4. Open **Docs** tab
5. Click **Add Document**; select appropriate documents to be added to member file; enter Document Name (Ex. Unusual Activity Investigation DD/MM/YYYY); Enter document description (Ex. investigation notes and findings for unusual activity review on XXXMEMBER NAME)
6. Click **Save Changes**

Update all KYM Information in Sunflower as required

7. Open **Risk View** tab
8. Update applicable KYM information in the following tabs:
 - a. Basic Information; Source of funds; Expected Activity; Risk Management

A detailed note must be placed in the member's profile on Sunflower indicating that an Unusual Activity Investigation has occurred, outcome of investigation, EDD measures applied, and next ongoing monitoring review date, if applicable:

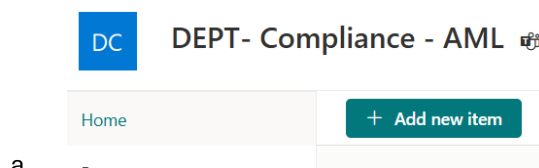
9. Open **Notes** tab and add a detailed note:
 - a. *"Unusual Activity Investigation was conducted resulting in an STR filing. Unusual Investigation notes saved in member documents as **DD/MM/YYY- Unusual Investigation**. Next review date DD/MM/YYYY."*
10. Ensure that EDD and ongoing monitoring review dates are set in the following applications:

Sunflower:

- Click on **Workflows** tab and select from the drop down either EDD Personal or EDD Business
- Search by **Customer ID** (PERS_; ORG_)
- Select member from list
- Assign workflow to yourself
- Mark recertification as complete
- Select appropriate responses on Recertification Disposing Questions and enter in next recertification date.
- Next recertification date will be the date of the next EDD review to be completed

High-Risk EDD and Ongoing Monitoring Tracker

11. Open Tracker [DEPT- Compliance - AML - High-Risk EDD and Ongoing Monitoring Tracker](#)
12. From the home screen select "Add new item"



13. Complete all required fields:
 - a. Next EDD Due Date
 - b. Review Frequency
 - c. Member Name

- d. PERS/ORG Number
- e. Membership Status
 - i. Non-member
 - ii. Closed Membership (De-Marketed)
 - iii. Active
- f. Member Number
- g. Branch
- h. AML Specialist
 - i. This is to be left blank when adding a new item
- i. Status
 - i. This is to be left blank when adding a new item
- j. Member Risk Score
 - i. High
 - ii. Medium
 - iii. Low
- k. Sunflower Updated
 - i. "Complete" after all data has been updated to Sunflower as required
- l. Comments
 - i. Any additional information pertaining to membership & relationship
- m. High-Risk Type
 - i. If a prescribed high-risk member add details from drop down
- n. Account Closure Date
 - i. If account is to be closed add date of closure

14. Save

7.3.1.2 UAR Application

Summary of Investigation should additionally be documented in Unusual Activity Report form submission. Complete the following sections of the **Compliance Review** in the UAR Application:

1. A summary of the investigation notes from the [Unusual Activity Investigation Form](#) should be placed into the **Investigator Comments** section of the UAR Application
2. **STR Submitted** indicator should be marked as "Yes"



- a.
3. **STR Confirmation Number** must be completed with the STR Report Reference Number from Navaera
 - a. *Ex - GULPXXXXXXXXXX*
4. **UAR Closed** indicator should be marked as “Yes”



- a.
5. **Date of Investigation Completion** completed with current date
6. Click the **Update** button. This will close the UAR and archive for future reference.

7.3.2 Non-Member UAR and STR Record Keeping

After submitting an STR for a non-member, the above [UAR Application](#) & [High-Risk EDD and Ongoing Monitoring Tracker](#) steps must be completed and the non-member UAR will be retained within the UAR Application per the [Record Keeping & Retention](#) section.

The [Unusual Activity Investigation Form](#) must be saved to the following shared team’s channel:

AML → AML Compliance – Pending & Completed Tasks → Investigations

[Z - Completed Non-Member UAR Investigations](#)

Save the investigation under the appropriate year with the non-member name and the associated UAR report #.

High-Risk non-member’s will be reviewed on an ongoing basis per the [AML Admin - Ongoing Monitoring and Enhanced Due Diligence Guidelines & Procedures](#)

8 Victims of Fraud Under \$5,000 - Threshold

The Credit Union has implemented a \$5,000 total loss threshold for STR submissions where members are victims of fraud. This approach aligns our internal STR reporting practices with the Canadian Criminal Code, which distinguishes fraud over \$5,000 as a criminal offence and fraud under \$5,000 as a lesser offence.

This threshold is supported by the following considerations:

7. Alignment with Criminal Code Definitions - The Criminal Code differentiates between fraud over and under \$5,000, with fraud over \$5,000 constituting a more serious criminal offence. Aligning STR reporting expectations with this distinction provides a consistent, legally grounded framework for determining when STR reporting is appropriate in victim of fraud scenarios.
8. Risk-Based Allocation of Resources - Establishing a clear dollar value threshold allows investigative and reporting efforts to be focused on higher-risk activity that presents stronger indicators of criminality, money laundering, or terrorist financing. This approach is consistent with regulatory

expectations that reporting entities apply a risk-based approach within their AML compliance programs.

9. Regulatory Environment and AMP Considerations - Given FINTRAC's recent increase in the issuance of AMPs, there is increased scrutiny on the quality, accuracy, and rationale supporting STR submissions. By focusing STR reporting on matters that meet a defined criminality threshold, the Credit Union strengthens its ability to demonstrate well-reasoned, defensible reporting decisions.

This threshold does not apply in circumstances involving heightened money laundering or terrorist financing risk, or where serious offences are present. Unusual activity investigations will continue to be conducted below the \$5,000 threshold in investigations involving, but not limited to:

- Indicators of money laundering, structuring, third-party involvement, or potential terrorist financing
- Child sexual exploitation or related offences
- Human trafficking indicators
- Situations where the member is perpetrating fraud against others
- Illegal cannabis or illegal gambling

These exceptions ensure the Credit Union continues to meet its STR reporting obligations in cases that are serious regardless of monetary value.

To support operational efficiency and demonstrate a risk-based prioritization approach, this threshold will apply to any UARs pending in the UAR application from initial launch February 28, 2025, onward. Applying this determination to the backlog will allow the AML Compliance Department to:

- Prioritize investigations involving serious and very serious offences, including fraud over \$5,000, complex fraud schemes, money laundering, or terrorist financing
- Redirect resources toward higher-risk investigations where STR reporting is more likely to be warranted
- Improve investigative quality by freeing up capacity
- Demonstrate to FINTRAC a structured, risk-based approach to managing outstanding UARs during a period of heightened regulatory scrutiny

8.1.1.1 Victim of Fraud Threshold Process

If a UAR is identified that falls within the above outlined threshold within UAR queue the UAR can be closed without conducting a fulsome UAR investigation.

The UAR can be closed as **No STR Required** with the following **Investigator Comments**:

As this UAR was for a fraud loss of less than \$5,000 where the member was victimized, the filing of an STR is not required in accordance with Beem's STR reporting threshold for victims of fraud.

The UAR can then be marked as **Closed**.

The CAMLO or CAMLO Designate will spot check on a regular basis the UARs that are closed within this threshold to ensure that they are meeting the above outlined requirements.

9 Illegal Cannabis UAR Investigations

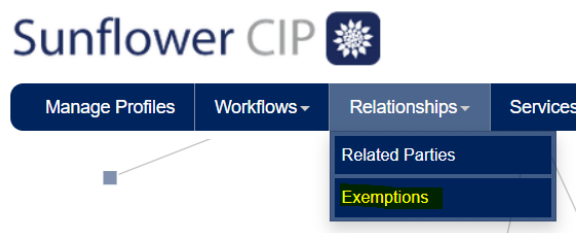
When the AML Compliance Team receives an UAR for a member identified to be conducting illegal cannabis purchase transactions the following process must be followed.

1. Notification is received by AML Specialists
 - a. UAR received from Fraud Department (ex. blocked/flagged e-transfers)
 - b. UAR escalation from AML Administrators (ex. ST Event Generated with transactions related to illegal cannabis)

2. Investigation conducted

A review is to be conducted to determine the source of funds (SOF) for the illegal activity, the source of funds will determine what review period is to be used for the investigation.

- a. Legitimate source of funds (i.e. payroll/pension deposits)
 - i. Review 2 weeks of transactional activity from the date of the most recent illegal cannabis transaction that was identified.
 - b. Unusual source of funds (ex. credits from unknown third parties, unknown cash deposits, etc.)
 - i. Escalate membership to full [UAR Investigation](#), the membership will no longer fall within this process and a full investigation will be conducted.
3. STR narrative created using appropriate template:
 - a. [Cannabis STR Narrative - NEW UPDATE.docx](#)
4. STR submitted as outlined in [Reporting STRs to FINTRAC](#)
5. Risk rate membership & schedule next EDD review date
 - a. All record keeping is required to be maintained and EDD date set as outlined in [Suspicious Activity Record Keeping](#) with the following adjustments:
 - i. Next EDD to be scheduled for 2 years from the date of STR
 - ii. Notes added to Sunflower outlining that the member had conducted transactions pertaining to illegal cannabis, SOF was determined to be legitimate, next EDD date scheduled for 2 years, if additional transactions alert, we will review at that time.
 - iii. Membership is to be marked as medium risk in Sunflower
 1. Within Sunflower navigate to Relationships → Exemptions



2. Click add Exemption
3. Enter PERS/ORG number of membership & select Medium Risk from exemption type

 The image shows a 'Add Exemption' form. It has a title bar with 'Add Exemption' and a close button. Below the title bar, there are two main sections. The first section is 'Enter Customer ID' with a text input field labeled 'Customer ID' and a blue 'Enter' button. The second section is 'Select Exemption Type' with a dropdown menu currently showing 'Medium Risk'. At the bottom right of the form, there are two buttons: 'Save' (blue) and 'Close' (grey).

4. Click Save

10 Online Gambling UAR Investigations

Online gambling UARs involving gambling platforms that are not licensed in British Columbia must be assessed using a documented, risk-based approach. AML Compliance must determine whether the available information supports reasonable grounds to suspect that the transaction or attempted transaction is related to the commission or attempted commission of a money laundering or terrorist activity financing offence. An STR will not be filed solely because the online gambling platform is not licensed in British Columbia.

For the purpose of this section, online gambling activity includes transactions conducted by members through online gambling platforms or related third-party payment processors, including but not limited to payment intermediaries used to send or receive gambling-related funds. PlayNow.com is currently the provincially authorized online gambling platform in British Columbia; however, the use of another platform does not, on its own, establish reasonable grounds to suspect money laundering or terrorist financing.

AML Compliance must review the online gambling activity in accordance with a typical [UAR investigation process](#) including the member relationship, available KYM information, source of funds, transaction behaviour, account usage, and any other money laundering or terrorist financing indicators identified during the review.

The investigation should consider whether:

- The source of funds is legitimate, identifiable, and consistent with the member profile.
- The member's account activity is consistent with the nature and purpose of the relationship.

- The volume, frequency, and value of gambling-related transactions are reasonable in relation to the member's overall account activity.
- Incoming funds from gambling-related payment processors reasonably align with expected gambling winnings or activity.
- The membership appears to be used primarily for personal banking or primarily to facilitate gambling-related movement of funds.
- Other money laundering or terrorist financing indicators are present, including structuring, layering, third-party activity, unusual cash activity, unexplained source of funds, adverse media, law enforcement information, or previous AML concerns.

An STR is generally not required where the review confirms that the member has a legitimate and readily identifiable source of funds, the account is used in a manner consistent with the member profile, the gambling activity represents a reasonable portion of overall account activity, incoming and outgoing amounts are explainable, and no additional ML or TF indicators are identified. The rationale for not filing an STR must be documented in the investigation record.

An STR must be considered where the review identifies factors that support reasonable grounds to suspect ML or TF, including where the account is used primarily or exclusively for gambling-related payment processor activity, the source of funds cannot be established or is inconsistent with the member profile, large or frequent transactions cannot be reasonably explained, significant funds move through multiple payment processors without an apparent legitimate purpose, structuring or layering indicators are present, or adverse information suggests possible criminal involvement.

Where suspicious indicators are identified, AML Compliance must proceed with the STR determination and reporting requirements outlined in this guideline. Consideration should also be given to appropriate risk mitigation measures, including enhanced due diligence, ongoing monitoring, service restrictions, or withdrawal of service, where warranted and in accordance with applicable Credit Union guidelines.

10.1 Volume of Gambling Debits (bets)

AML Compliance should assess gambling-related debit activity as a percentage of the member's overall account activity during the review period. This assessment is intended to determine whether the account appears to be used primarily as the member's personal banking account, or whether it is being used primarily to facilitate online gambling activity. The percentage assessment should consider the number, value, and frequency of gambling-related debits compared to all other account activity, including payroll, pension, government benefits, bill payments, transfers, point-of-sale transactions, cash activity, and other ordinary personal banking activity.

Gambling-related debits as % of overall account activity	Risk assessment	AML Compliance guidance
Approximately 0% to 25%	Generally lower risk	Activity may generally be considered reasonable where the source of funds is legitimate and identifiable, the account shows normal personal banking activity,

		gambling transactions are low value or spread over multiple days, and no additional ML or TF indicators are present.
Approximately 26% to 50%	Elevated risk	This range does not automatically require an STR; however, AML Compliance must assess whether the activity remains reasonable based on the member's source of funds, income level, expected account activity, transaction values, frequency, pattern of use, and whether the account continues to show ordinary personal banking activity. The rationale for determining the activity reasonable or suspicious must be clearly documented.
More than 50%	Higher risk	AML Compliance should determine whether the account is being used primarily to facilitate gambling activity, particularly where there is limited evidence of normal personal banking. Consider whether the source of funds, transaction pattern, account usage, or other risk factors support reasonable grounds to suspect ML or TF.

The percentage thresholds are guidance only and must not be applied as stand-alone filing criteria. A lower percentage of gambling activity may still warrant escalation where other suspicious indicators are present, such as unexplained cash deposits, third-party funding, funds moving through multiple payment processors, layering activity, adverse media, or inconsistencies with the member profile. Conversely, a higher percentage may be reasonable where the source of funds is clearly established, the activity is explainable, and no additional ML or TF indicators are identified.

10.2 Volume of Gambling Credits (winnings)

AML Compliance should assess gambling-related credits received into the member's account during the review period to determine whether the value, frequency, and pattern of incoming funds are reasonable in relation to the member's gambling-related debits, known source of funds, KYM information, and overall account activity. Gambling-related credits may include apparent winnings, withdrawals from online gambling platforms, or credits received from third-party payment processors associated with gambling activity.

Gambling-related credits as % of gambling-related debits	Risk assessment	AML Compliance guidance
Up to 100%	Generally lower risk	Credits may generally be reasonable where the total value of gambling-related credits does not exceed the

		value of gambling-related debits during the review period, the source of funds used for gambling is legitimate and identifiable, and no additional ML or TF indicators are present.
101% to 150%	Moderate risk	Credits within this range may still be consistent with gambling winnings where the activity is explainable, the member has a legitimate source of funds, and the account continues to show ordinary personal banking activity. AML Compliance should document why the credits are reasonable in relation to the member's gambling debits, expected income, and overall profile.
More than 150%	Elevated risk	AML Compliance must assess whether the higher value of credits is reasonable based on the member's KYM information, occupation, expected income, source of funds, gambling pattern, and account usage. Credits exceeding 150% of gambling debits do not automatically require an STR; however, they require additional analysis and clear documentation of whether the activity is reasonable or supports reasonable grounds to suspect ML or TF.

Where gambling-related credits exceed 150% of gambling-related debits, AML Compliance should consider whether the credits are supported by the member's known financial profile and whether the pattern is consistent with legitimate gambling winnings. Factors to consider include whether the member has low or limited expected income, is unemployed, receives credits that are high in value or frequency, receives credits from multiple gambling-related payment processors, or receives funds that are quickly withdrawn, transferred, or moved through the account without an apparent legitimate purpose.

The percentage thresholds are guidance only and must not be applied as stand-alone STR filing criteria. A lower percentage of gambling-related credits may still warrant escalation where other suspicious indicators are present, including unexplained source of funds, third-party activity, unusual cash activity, layering, structuring, adverse media, law enforcement information, or inconsistencies with the member profile. Conversely, credits exceeding 150% may be reasonable where the source of funds and activity are explainable and no additional ML or TF indicators are identified.

11 Record Keeping & Retention

New, completed and archived Unusual Activity Reports will be stored and accessed through the following Microsoft SharePoint link:

[Applications Development - UAR - Reports](#)

11.1 Reporting Views

AML Admin - UAR and STR Reporting Guidelines and Procedures GUIDELINES

The following are the main UAR reporting views:

- UAR – All Reports
 - All UARs regardless of state of completion
- UAR - New Unactioned
 - New UARs that require AML Specialist Assignment
- UAR - Investigation in Progress
 - New UARs currently under investigation by AML Specialist
- New EDD Review
 - New EDD Review requiring AML Specialist review
- UAR – No STR CAMLO Approval Required
 - UAR investigation complete and activity deemed reasonable by AML Specialist. CAMLO or CAMLO Designate review and approval required
- UAR – STR Submitted
 - UAR investigation complete & STR submission complete
- UAR – STR not Submitted
 - UAR investigation complete, activity deemed reasonable and CAMLO or CAMLO designate review has been completed and approved.
- EDD Review Completed
 - EDD Review Completed by AML Specialist
- UAR – Non-member
 - All Non-member UARs received
- All Items

Additional reporting views have been created to assist the AML Specialists with triaging UARs and managing investigations that are in progress.

11.2 Retention

Unusual Activity Reports will be retained as required under the PCMLTFA record keeping obligations.

12 Version History

DATE	VERSION	CHANGE
August 20, 2026	006	• Added approved recommendation for online gambling investigations • Updated Illegal Cannabis section to remove gambling references
June 17, 2026	005	• Added definition of related membership review • Added definition of account activity review timeframes • Added clarification on documenting open-source search findings

		- Added additional predicate offences and FINTRAC operational alert #TAPEX - Added reference to various job aids that have been created since last document update.
January 30, 2026	004	<i>Annual Review conducted</i> - Updated links and required fields in UAR application and EDD tracker - Added additional information for conducting a UAR investigation including KYM Review & Account Activity Review requirements - Added new open-source application – Refinitiv - Updated Fraud STR Threshold to align with approved recommendation - Condensed duplication of information and added links to appropriate section for clarity
October 27, 2025	003	<i>Updated expired links</i>
February 24, 2025	002	<i>Updated to reference new UAR Application</i>
November 1, 2024	001	<i>Initial Version Created</i>